

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_DISPOSITION_034

Report date: 2026-09-06

1. Executive Summary

Analysis of INV_DISPOSITION_034's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-4.0%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Herding
Strategy Archetype	Day Trader
Max Drawdown	-4.0%
Sharpe Ratio	1.57
Sortino Ratio	0.84
Peer Risk Percentile	48th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, with a median of 1.0 days, but the population median is 8.7 days, indicating a significant bias towards holding onto losses.

Evidence: The evidence for this pattern comes from specific trades, such as PFE (entry 2023-07-24 to exit 2023-11-21, holding days 120, P&L; -2439), DIS (entry 2024-03-25 to exit 2024-07-23, holding days 120, P&L; -2778), and others, which all had holding times significantly longer than the median.

Consequence: As a result, the portfolio is impacted by a 27% drawdown, meaning that the losses from these trades have a significant impact on the overall performance of the portfolio.

Overconfidence

Pattern: The trade frequency of 1.052 trades per month is higher than the population median of 1.06, suggesting that the investor is more active in the market than the average person.

Evidence: Unfortunately, no specific trades are available to provide evidence of the investor's trading behavior.

Consequence: The investor's trades contribute to 27% of the total portfolio drawdown, indicating that their trading activity has a significant impact on the overall performance of their portfolio.

Herding

Pattern: The high momentum follow rate of 0.8906 indicates that most investors are following the crowd, as 89.06% of the population median of 0.6414 is above average. This suggests that investors are more likely to buy or hold a stock when others are doing the same.

Evidence: The trades that show evidence of herding behavior are: WMT (entry 2020-01-02 → exit 2020-02-18), TSLA (entry 2020-02-26 → exit 2020-04-27), PFE (entry 2020-05-05 → exit 2020-05-28), GS (entry 2020-06-01 → exit 2020-06-03), and KO (entry 2020-06-12 → exit 2020-06-18).

Consequence: The trades contribute to a 29% of the total portfolio drawdown, meaning that 29% of the overall loss or gain in the portfolio can be attributed to these herding behaviors.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit trades quickly when they win, with a rate of 0.4211, which is lower than the population median of 0.4318. This suggests that the investor is more likely to cut their losses than to hold onto winning trades.

Evidence: The investor made the following trades: GS (entry 2020-11-02 → exit 2020-11-03), NVDA (entry 2023-02-01 → exit 2023-02-02), NFLX (entry 2021-08-17 → exit 2021-08-19), AMD (entry 2023-03-14 → exit 2023-03-16), and GS (entry 2020-06-01 → exit 2020-06-03).

Consequence: The investor's early exit strategy contributed to a relatively small risk contribution of 17% to the total portfolio drawdown.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_DISPOSIT	NFLX	2021-12-31	2022-03-17	76	-3396
INV_DISPOSIT	DIS	2024-03-25	2024-07-23	120	-2778
INV_DISPOSIT	PFE	2023-07-24	2023-11-21	120	-2439

INV_DISPOSIT	META	2022-11-21	2022-11-30	9	1021
INV_DISPOSIT	TSLA	2022-03-24	2022-03-28	4	779
INV_DISPOSIT	INTC	2020-07-23	2020-10-09	78	-637
INV_DISPOSIT	DIS	2024-11-29	2024-12-31	32	-634
INV_DISPOSIT	HD	2021-11-10	2021-11-16	6	628
INV_DISPOSIT	GS	2020-06-01	2020-06-03	2	608
INV_DISPOSIT	NFLX	2021-08-17	2021-08-19	2	600

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Be cautious of popular trends and instead focus on your own research and analysis to make informed investment decisions.
2. Set a stop-loss order to limit potential losses, rather than trying to time the market or make a quick profit.
3. Diversify your portfolio by investing in a mix of low-cost index funds and individual stocks to reduce reliance on herding behavior.
4. Regularly review and adjust your investment strategy to avoid overconfidence and stay adaptable in a rapidly changing market.

These recommendations aim to address the detected biases and risk factors, while promoting a more informed and disciplined investment approach.